

Separate Realities and Local Economies

Mistrust in Economic Reporting

Sylvan Zheng

Motivation

- ▶ It's the economy, stupid!

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Motivation

- ▶ It's the economy, stupid!
- ▶ But Biden, 2024?
- ▶ Economic voting $\leftarrow$ economic sentiment $\leftarrow$ news media
- ▶ What role do local conditions and local news play, especially when the national and local picture are different?

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A Changing Context

- ▶ Local economic news $\neq$ national economic news

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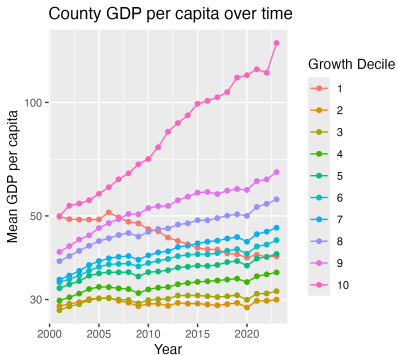
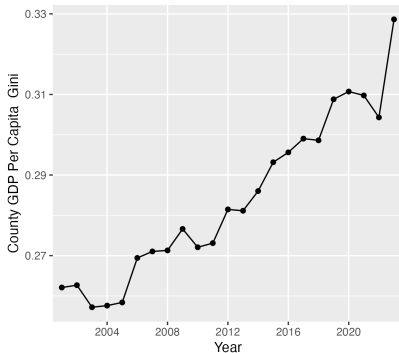
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 - ▶ Economic Innovation Group: Data reveals rising economic “distress” across America despite post-pandemic growth

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Increasing Spatial Economic Inequality



Data from the Bureau of Economic Analysis

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- ▶ To what extent does increasing news nationalization influence press trust?
 - ▶ Mismatch between local conditions and nationally oriented press coverage
 - ▶ Perception news media is not concerned with “people like me” drives down trust

Data

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(4) *Shapiro et al, 2021*

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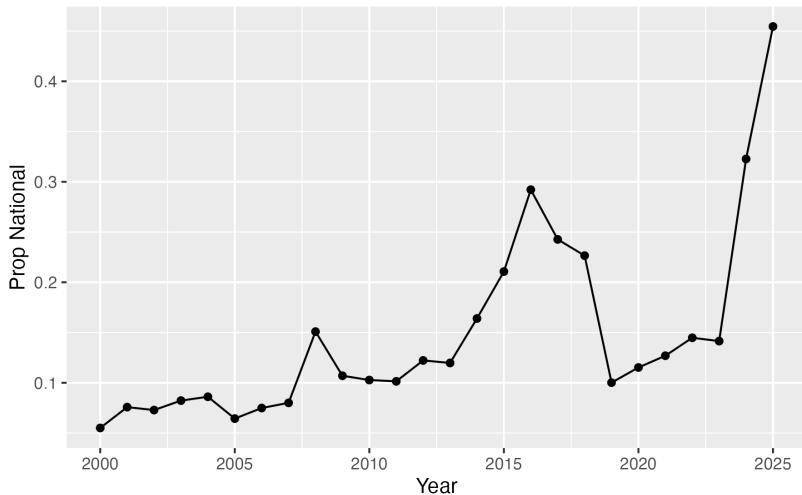
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 - ▶ Labeled for **economic sentiment** (-1 to 1) using classical sentiment analysis (4)

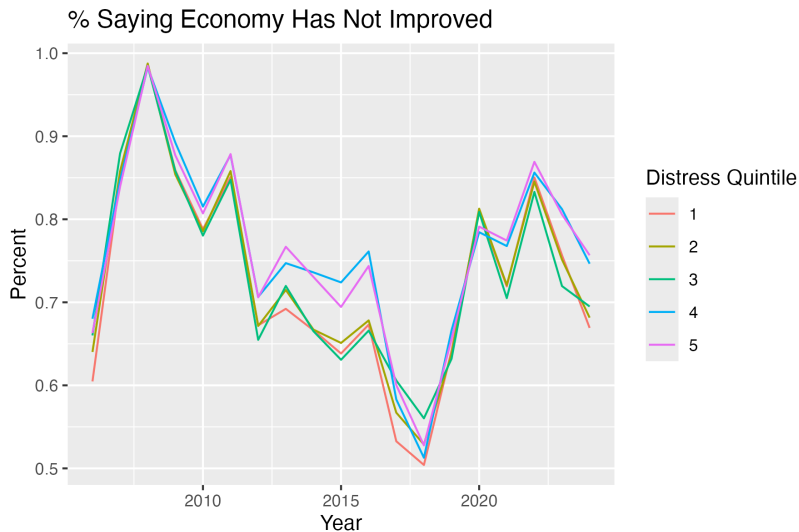
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Increasing Nationalization of News

Mean prevalence of national news among economic news articles



Spatial Inequality and Economic Perceptions



Data from the Distressed Communities Index and the CES

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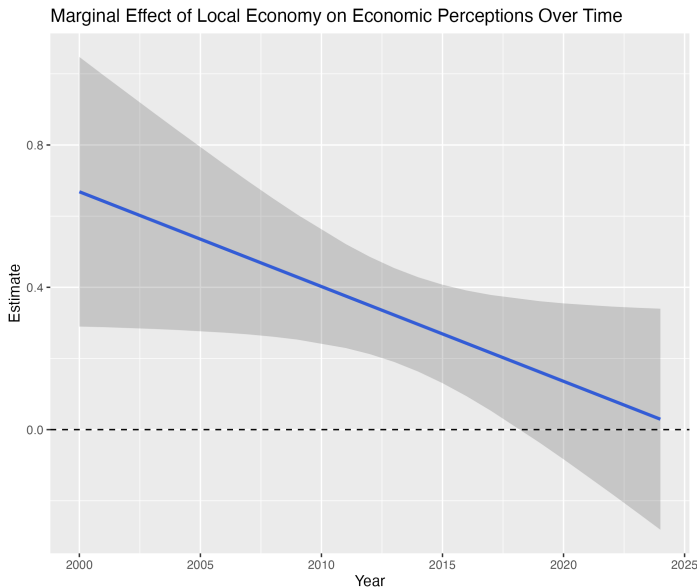
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- ▶ How does this relationship vary over time? (**interaction effects**)

Results

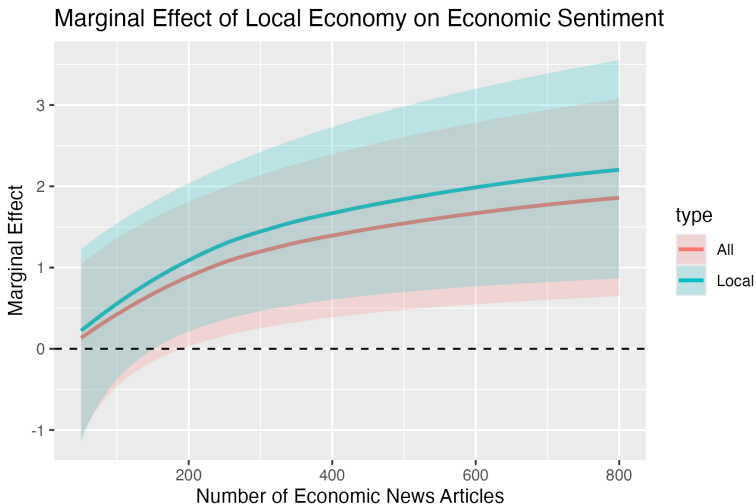
Local Conditions Affect Economic Sentiment

Dependent Variable:	economy_retro	
Model:	(1)	(2)
<i>Variables</i>		
diff_local_national	0.30*** (0.07)	0.67*** (0.19)
diff_local_national $\times t_{2000}$		-0.03** (0.01)
<i>Fixed-effects</i>		
Year, County, Party, Education	Yes	Yes
<i>Fit statistics</i>		
Observations	615,641	615,641
<i>Clustered (county) standard-errors in parentheses</i>		
<i>Signif. Codes: ***: 0.01, **: 0.05, *: 0.1</i>		

Local Conditions Affect Economic Sentiment Less Over Time



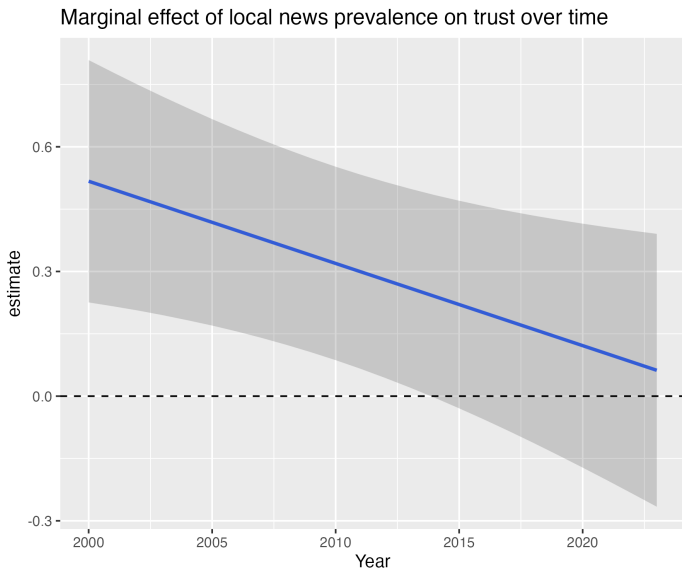
Local Conditions Affect Economic Sentiment Via News Provision



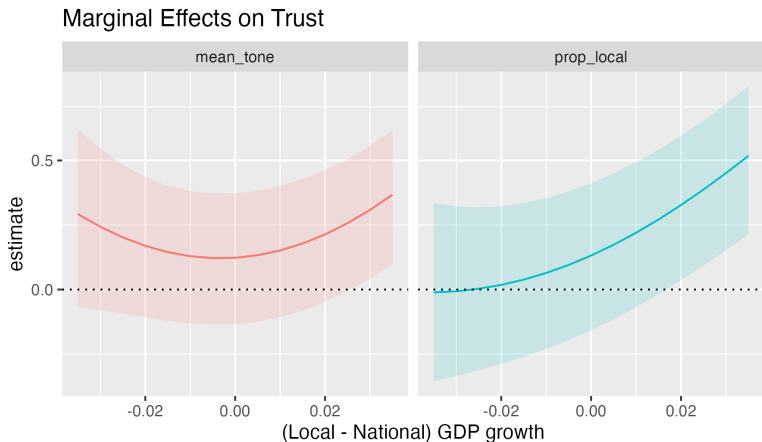
Local News Provision Increases Press Trust

Dependent Variable: conpress			
Model:	(1)	(2)	(3)
<i>Variables</i>			
log(n_total)	-0.02 (0.02)		
prop_local		0.25** (0.13)	0.52*** (0.15)
prop_local × year			-0.02** (0.009)
<i>Fixed-effects</i>			
Year, County, Party, Education	Yes	Yes	Yes
<i>Fit statistics</i>			
Observations	2,309	2,309	2,309
<i>Clustered (fipscty) standard-errors in parentheses</i>			
<i>Signif. Codes: ***: 0.01, **: 0.05, *: 0.1</i>			

Local News Provision Increases Press Trust Less Over Time



Local News Provision Increases Trust More in Growing Counties



Effect heterogeneity modeled quadratically

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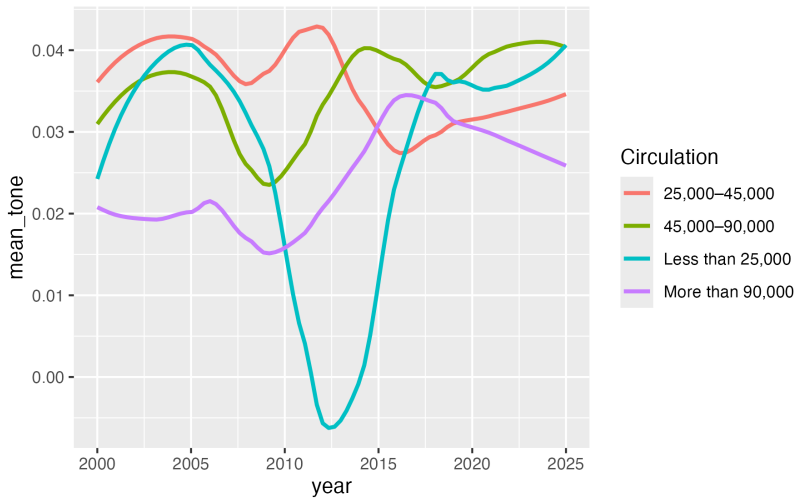
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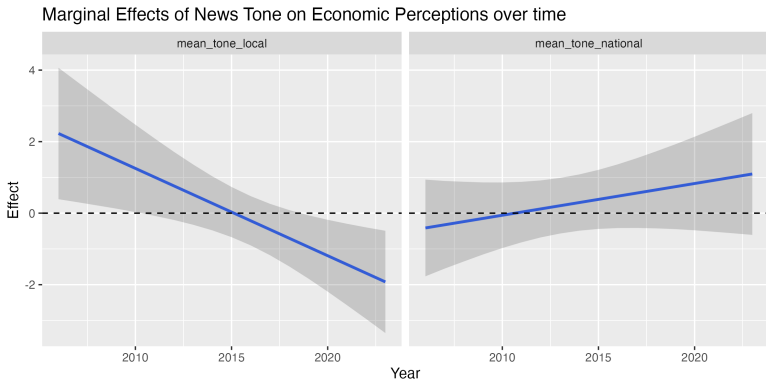
Appendix

Mean Tone over Time

Economic news sentiment over time by newspaper size

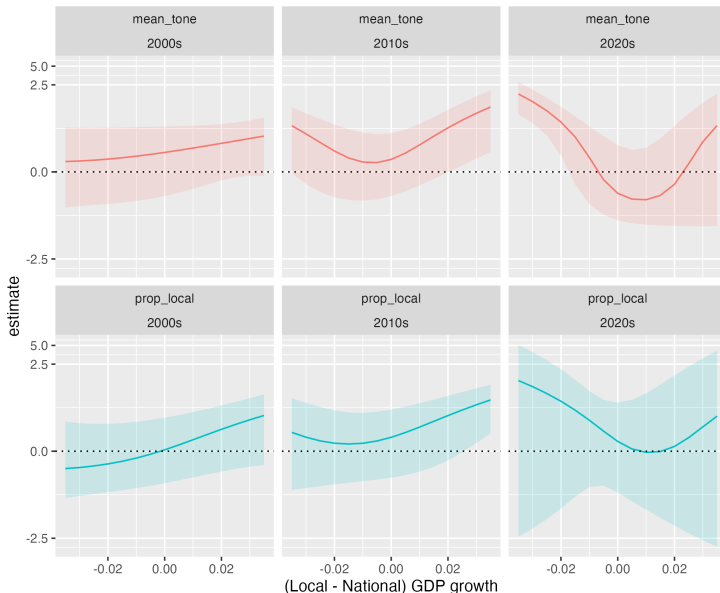


Local News Tone and Economic Sentiment



Local Conditions, News Provision, and Trust over Time

Marginal Effects on Trust By Decade



Summary

- ▶ Local economic conditions influence economic perceptions - to some extent via local news coverage
 - ▶ but not any more
- ▶ Local news provision influences trust in the press
 - ▶ but not any more
- ▶ Local news provision and tone more strongly associated with trust for counties doing better than the national average